OSIAS MUTASA
and
NETSAI MUTASA
versus
NGONIDZASHE EMMANUEL MBAUYA
and
ALISON PATIENCE MBAUYA

HIGH COURT OF ZIMBABWE
MAMBARA J
HARARE; 27 and 31July 2026

Opposed Court Application

S Kufandada, with him *B Mhuru*, for the applicants
NK Chirisa, assisted by *D Sheshe*, for the respondents

MAMBARA J:

[1] This is an application for a declaratory order in terms of s 14 of the High Court Act [*Chapter 7:06*]. The applicants seek an order declaring null and void the agreement of sale allegedly concluded between themselves and the first respondent in respect of Stand 1507 Picnic Park, Waterfalls, Harare, and a further declaration that the property belongs to them. The application is opposed. The contest is not about the existence of some financial accommodation between the parties. It is about the juridical character of the documentation used in that accommodation. The applicants say the impugned sale agreement was a mere façade to secure a loan. The respondents say it was an outright sale.

[2] The broad factual matrix is largely common cause. The property was originally held by the applicants through Picnic Developers. The record contains confirmation letters linking the stand to them. It also contains the impugned agreement of sale recording a purchase price of USD 80,000 payable in cash on signature, a clause permitting the applicants to remain in occupation for six months, and a further clause contemplating rental during that occupation. There is also a bank deposit slip for USD 600 which bears the narration “loan repayment,”

and a Magistrates Court summons later issued by the first respondent for eviction, arrear rentals and holding-over damages arising from the same agreement.

[3] The applicants' case, both in the papers and as amplified in oral argument, is that they approached the second respondent for a loan; that she sourced the money through the first respondent; that the property papers were demanded as security; and that the sale agreement was introduced not because there had been a sale, but because the respondents wished to secure the debt by dressing it in the garb of a transfer. They point to their continued occupation, the absence of proof that USD 80,000 was ever paid, the bank narration of "loan repayment," the unexplained demand for rentals from a supposed seller who had allegedly already been paid in full, and the receipting of cession-related monies by an entity called C.E.M. Enterprises. They also attacked the authenticity and consistency of the documentary trail.

[4] The respondents' answer is that the transaction was a straightforward sale. They say the applicants sold the house for USD 80,000, ceded their rights at the developer's offices, remained temporarily in occupation by agreement, and became liable for rentals of USD 600 per month. Yet when counsel for the respondents was pressed in argument on proof that the purchase price had in fact been paid, no receipt, bank confirmation, withdrawal trail or any cogent documentary proof was produced. What remained was the printed clause in the document asserting cash payment and the *ipse dixit* of the respondents. In a dispute of this nature, that is not enough. The alleged purchase price is not a trivial detail; it is the core performance that breathes life into a true sale.

[5] The threshold question is whether the applicants satisfy the jurisdictional requirements for a declaratur. They plainly do. A person risks eviction from a home on the strength of an instrument whose validity he challenges. That person is self-evidently an interested person with a direct and substantial interest in the subject matter. The right at stake is neither academic nor abstract. It is the applicants' asserted ownership and their correlative right not to be dispossessed except through lawful process founded upon a valid juristic act. This is therefore a proper case for the exercise of the court's jurisdiction under s 14.

[6] The applicable principles are settled. Courts do not determine the nature of a transaction by labels alone. They examine whether the transaction is genuine. If the outward form is inconsistent with the parties' true bargain, the court gives effect to the real transaction or, where the concealed arrangement is itself unlawful or offensive to public policy, withholds enforcement. That approach is reflected in Zimbabwean authority and in the classic

Commonwealth exposition of sham in *Snook* v *London & West Riding Investments Ltd* [1967] 2 QB 786 as later applied in *HM Inspector of Taxes* v *Hitch & Ors [*2001] EWCA Civ 63. The inquiry is factual, objective in its consequences, but centred on the parties' true intention as revealed by the whole matrix, including subsequent conduct.

[7] The law of sale offers its own internal test. The sale of immovable property is synallagmatic. The purchaser's obligation to pay the price is met by the seller's obligation to give occupation and effect transfer. Each is reciprocal to the other. That is why proof of payment is never peripheral in a truly contested sale. Where a party asserts that a concluded sale occurred and that ownership consequences should follow, the court expects credible proof of the price. Here the respondents, though affirming a cash payment of USD 80,000, produced no supporting proof at all. That omission weighs heavily against the reality of the alleged sale.

[8] Several features of the present matter point away from a genuine sale and toward a security arrangement disguised as one. The applicants remained in occupation. The supposed rentals were not shown to have been agreed at the inception of the transaction, notwithstanding the importance of that term if the seller was to remain as tenant. The one payment credibly documented in the record is the USD 600 deposit described by the applicants as "loan repayment." That narrative was not contemporaneously rejected by the respondents. The respondents' later attempt to re-characterise it as rent is opportunistic, especially when viewed against the absence of any lease, any written rental demand structure contemporaneous with the agreement, or any satisfactory proof of the alleged purchase price.

[9] A further difficulty for the respondents is the opacity in the documentary trail. Counsel for the applicants pointed to discrepancies between versions of the agreement circulating in the Magistrates Court proceedings and in this court. I need not make a definitive finding of fraud on the papers about that issue. It is enough to say that the inconsistency was not satisfactorily explained. The same is true of the role of C.E.M. Enterprises in receipt of cession-related monies. If the respondents' case were indeed a clean, arm's-length cash sale followed by a routine developer process, one would have expected clarity, not obscurity, on these elementary matters. Their absence compounds the improbability of the respondents' version.

[10] The court must also take account of the structure and economic sense of the transaction. The applicants' version was that the impugned documentation was introduced because the lender wanted the property as security. That version is materially strengthened by

the respondents' own conduct. Instead of suing for specific performance based on proven payment of the price and a completed sale, they sued in the Magistrates Court for eviction and arrear rentals while relying on the applicants' continued occupation of the property. That pattern is more consonant with a debt-security arrangement drifting into attempted appropriation than with a completed sale in the ordinary course.

[11] If, as I find on a balance of probabilities, the agreement was never intended to embody a true sale, then it was simulated and cannot be enforced according to its ostensible terms. But even if one were to approach the matter slightly differently and conclude that the applicants were simply induced to sign a document whose legal effect they did not truly intend, the result is the same. Transfer of immovable property requires a real agreement: an intention to pass and receive ownership. Without that intention, ownership does not pass merely because paperwork exists or even because some cession step is purportedly recorded.

[12] There is a second and independent reason why the respondents cannot succeed on the agreement. On the applicants' accepted version, the sale document was demanded as security for the debt, with the expectation that default would leave the respondents in a position to take the property. That is the hallmark of a *pactum commissorium*. Our law has long refused to permit a creditor to stipulate that, upon default, the secured asset simply becomes the creditor's property. The creditor must recover the debt through lawful proceedings and appropriate execution, not through self-help disguised as sale. That is precisely the reasoning captured in *Wilson Manase* v *Clotilda Chidanyika and 4 Ors* HH 495-26, and it is reinforced by South African authority such as *Graf* v *Buel* [2003] ZASCA 29; 2003 (4) SA 378 (SCA) and *Ditshego & Ors* v *Brusson Fcheinance (Pty) Ltd* & Ors (5144/2009) [2010] ZAFSHC 68.

[13] I therefore reject the contention that the court is being asked to invalidate a perfectly normal sale on the basis of bare allegation. The allegation is not bare. It is anchored in the respondents' inability to prove the most critical incident of the sale, namely payment of the price; in the bank narrative expressly referring to a loan repayment; in the artificial and later-emerging reliance on rentals; in the applicants' continued occupation; in the blurred documentary path surrounding cession and receipts; and in the broader commercial absurdity of treating a debt-recovery arrangement as if it were a voluntary alienation of a family home. The probabilities point in one direction only.

[14] Ms *Chirisa* submitted that the applicants were inviting the court to invalidate an agreement of sale without tangible evidence. With respect, the tangible evidence lies in the very record on which the respondents rely. Documentary form is not self-proving where the

surrounding facts negate the substance it purports to express. The court is not required to close its eyes to reality simply because a lender chose the language of sale. Courts exist precisely to prevent such formalism from being used as an engine of injustice.

[15] I also place weight on the fact that, when asked in oral argument whether the USD 80,000 was paid to the applicants, counsel for the respondents answered in the affirmative but could produce no proof. That failure matters because the $80,000 payment is not a collateral issue. It is the foundation of the respondents' status as purchaser and, by extension, of their Magistrates Court eviction claim. Without credible proof of payment and without proof of a real consensus to transfer ownership, what remains is an attempted shortcut to debt recovery through possession of the applicants' home. The law does not countenance that course.

[16] The applicants do not deny that some financial liability may have arisen between the parties. That concession is important. It demonstrates that the grant of a declaratur will not extinguish a lawful debt claim if one exists and can be properly proved. What it does do is restore the parties to the correct legal plane. The respondents remain at liberty to pursue whatever monetary remedy the law permits. What they may not do is enforce an ostensible sale that is not genuine, or whose security function offends the common-law prohibition against *pacta commissoria.*

[17] In the circumstances, I am satisfied that the impugned agreement of sale cannot stand. The declaratory relief sought is appropriate, practical and just. It clarifies the parties' true legal position, forestalls abuse of parallel proceedings founded on an invalid instrument, and affirms that debts must be recovered by lawful process rather than by camouflage.

[18] Costs should follow the result. I am not persuaded, on the present papers, that a punitive scale is necessary. Ordinary costs will suffice. The respondents jointly put forward and persisted in a legally untenable position grounded on an invalid or unenforceable transaction. They must bear the costs of the application.

[19] Accordingly, it is ordered that:

1. The agreement of sale entered into by the applicants and the first respondent in relation to 1507 Picnic Park, Waterfalls, Harare, be and is hereby declared null and void.
2. The immovable property known as 1507 Picnic Park, Waterfalls, Harare, be and is hereby declared to belong to the applicants.

3. The first and second respondents shall, jointly and severally, the one paying the other to be absolved, pay the costs of suit.

MAMBARA J…….

Charamba & Partners, applicants' legal practitioners
Masiya-Sheshe & Associates, respondents' legal practitioners